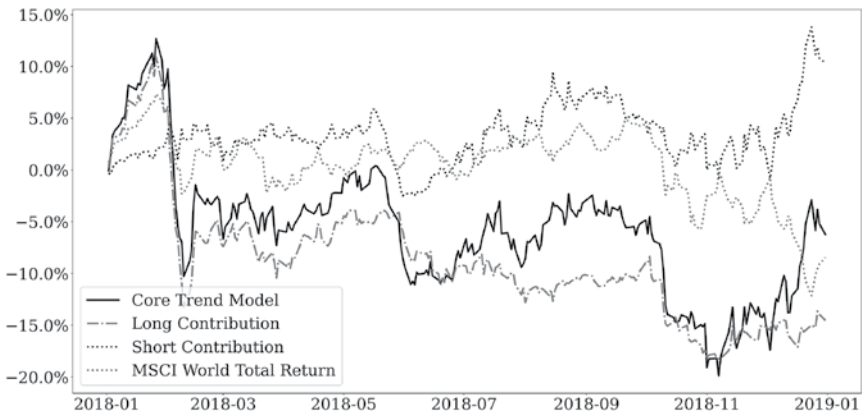
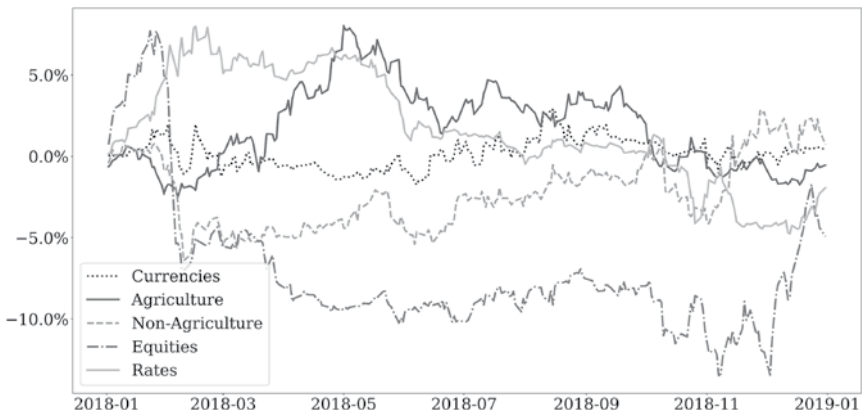




**FIGURE 6.99** Strategy performance 2018.

motivational undertaking, as it doesn't affect the strategy in any way. That's just the thing with systematic strategies. Once deployed, we are effectively passengers.

That big scary drop early in the year, the sudden loss which ruined our year, was in large part created by a pullback in the stock markets. We were heavily long, took a short-term hit and triggered stops (Figures 6.100–6.102). As the markets recovered, we had stopped out and failed to participate. It was a rather tough year in the stock markets, and with the choppy and largely trendless market, we kept losing in that sector. This was one of those years where nothing really worked. We saw brief gains in some sectors, but nothing that lasted. By the end of the year, there wasn't really much of a difference in sector performance, and they all showed a slight loss to a slight gain, with a net negative return on the year.



**FIGURE 6.100** Sector performance 2018.